closes below the valley between the two peaks. We'll see a picture of the pattern in a moment.

Big Ms only break out downward, but they appear in both bull and bear markets. The average decline is about what you would expect from a bearish chart pattern, higher in bear markets than in bull markets. Volume trends downward from the first peak to the second, but plays no role in performance. Volume devotees may find that odd.

The performance rank for big Ms is good in bull markets but slips in bearish ones as the above statistics show. Let's look at some examples to see if we should include them in our trading toolbox.

Tour

Figure 6.1 shows a good example of a big M chart pattern. Price begins climbing to the first peak in the pattern from the launch price at A. Think of point A as the launch pad with the hope that price will return to the pad after the pattern completes.

In perfectly shaped big Ms, the price trend to the first peak is a straight line affair, often quite fast and steep, like you see here on the way to peak B.

The big M is a twin peak pattern, BC. It's similar in shape to a double top except for the tall sides, as I mentioned. Between the peaks is a recession, D, a valley where price bottoms. The stock recovers and forms a second peak, C.

After the second peak, price drops and breaks out when price closes below the valley between the two peaks. That happens at E in this example. The stock continues lower but then gets sucked back up to G. It's a pullback, which often returns the stock back to, or near to, the breakout price in 12 days on average.

A pullback is not part of the big M. Rather it's just something that occurs about two-thirds of the time. Traders need to be aware of it so that they don't close out a position prematurely.